An extended V-top is really an inverted V shape with a horizontal-to-upward retrace on the right side of the V. We'll see an example in a moment, but the small picture above shows the basic outline. In this chapter, I'll just refer to the pattern as V-shaped, not inverted V-shaped.

The average decline is excellent, ranking first or second (the performance rank) among other bearish chart patterns. The failure rate in both bull and bear markets is also topnotch, ranking third and first for bull and bear markets, respectively.

The pattern can resemble an ugly double top. That's not a pattern I review in this book. Think of a double top as twin peaks near the same price. In the ugly variety, the right peak is below the left one.

Volume usually trends downward over the length of the pattern, from the start of the V to the end of the extension (the day before the breakout).

Let's look at some examples of an extended V-top.

Tour

Figure 72.1 shows what an extended V-top looks like at ABC. It begins with a strong push higher (A) in a straight-line run-up with few or no pauses along the way. The uptrend (in this example) is too steep to be sustainable for very long, so it peaks at B. Reaching the summit is a lot like climbing Mount Everest. You don't want to hibernate up there in the death zone. That means the turn downward happens quickly.

The drop on the right side from the summit is more sedate. In other words, the slope of the right side of the pattern will frequently not be as steep as the left side. You can see that in the figure, where the right side at the start (BC) doesn't quite mirror the left-side slope (AB).

Price drops to C where the extension begins. Price in the extension can be horizontal (rare) or upward (more frequent). I suppose it can even be downward, but I can't recall having seen one of those.